WHY ARE WE CHANGING THE PK TAX SYSTEM?

We're moving to a pooled bonus system so that everyone benefits from growing the overall business, not just from the specific leads or pricing opportunities they personally receive. Instead of individuals keeping their own PK tax amounts, we'll combine it into one monthly bonus pot and distribute it based on performance across the areas that matter most to the company - overall profit, Snuggle profit, contribution to PK tax, and number of orders handled. This keeps strong earning potential in place, but rewards the behaviours that drive long-term growth and healthier margins.

The goal isn't to reduce anyone's earnings, it's to make the system fairer and more aligned with how we actually grow as a business. By weighting profit and conversions more heavily, we're encouraging focus on quality sales, key accounts, and closing opportunities efficiently. When the company performs better, the pool grows; and when we work together to increase profit and conversions, everyone has the opportunity to earn more.

The PK Tax pool consists of:

- Sales team PK Tax (40% of total)
- 7% of Snuggle Profit

How Do We Decide Who Gets What?

We don't split it evenly. Instead, we look at four things to see who helped the company the most:

1. **Company Profit** (worth 40%)
2. **Snuggle Profit** (worth 25%)
3. **PK Tax brought in** (worth 20%)
4. **Number of Orders handled** (worth 15%)

Each month, we calculate how much each account manager contributed in these four areas. Each category, we work out what percentage of the total each person contributed. So if someone generated 18% of total company profit, that's their share for that category.

We then apply the agreed weightings to reflect what matters most to the business. Company profit is weighted at 40%, Snuggle profit at 25%, PK tax at 20%, and number of orders at 15%. Each person's percentage contribution in each category is multiplied by that category's weighting, and those weighted figures are added together to create a final performance score. That score determines what proportion of the total PK pool they receive. The stronger someone's overall contribution across these areas, the larger their share of the pool.

EXAMPLE:

Let's say the total PK pool for the month is **£1,000**.

We have three account managers:

- **Alex**

- **Sam**
- **Jordan**

Their percentage contributions to each category are:

Person	Company Profit %	Snuggle %	PK Tax %	Orders %
Alex	55%	50%	45%	50%
Sam	35%	30%	35%	30%
Jordan	10%	20%	20%	20%

Now we apply the weightings:

- Company Profit = 40%
- Snuggle Profit = 25%
- PK Tax = 20%
- Orders = 15%

Step 1: Calculate Weighted Scores

Alex

- 55% × 40% = 22%
- 50% × 25% = 12.5%
- 45% × 20% = 9%
- 50% × 15% = 7.5%

Total weighted score = **51%**

Sam

- 35% × 40% = 14%
- 30% × 25% = 7.5%
- 35% × 20% = 7%
- 30% × 15% = 4.5%

Total weighted score = **33%**

Jordan

- 10% × 40% = 4%
- 20% × 25% = 5%
- 20% × 20% = 4%
- 20% × 15% = 3%

Total weighted score = **16%**

Step 2: Divide the £1,000 Pool

- **Alex** gets 51% → £510
- **Sam** gets 33% → £330
- **Jordan** gets 16% → £160

Total = £1,000

What This Demonstrates

Alex consistently performed strongly across all categories, especially in company profit, which carries the highest weight, so receives the largest share.

Sam contributed solidly but at a lower level overall.

Jordan contributed across all areas but at a lower percentage, so their share is smaller, not because of one weak metric, but because overall contribution was lower.

The system rewards balanced, profit-focused performance over the whole month.

This structure is designed to encourage everyone to push for more leads, better conversions, and stronger overall performance, not just individual wins. Because the bonus pool grows when the business performs better, there's a shared incentive to increase total profit and total orders.

At the same time, each person's share depends on their personal contribution across the key areas, so effort and results still matter. The aim is to create a balance: healthy individual drive combined with a team-focused mindset, where supporting each other, improving close rates, and growing key accounts benefits everyone.